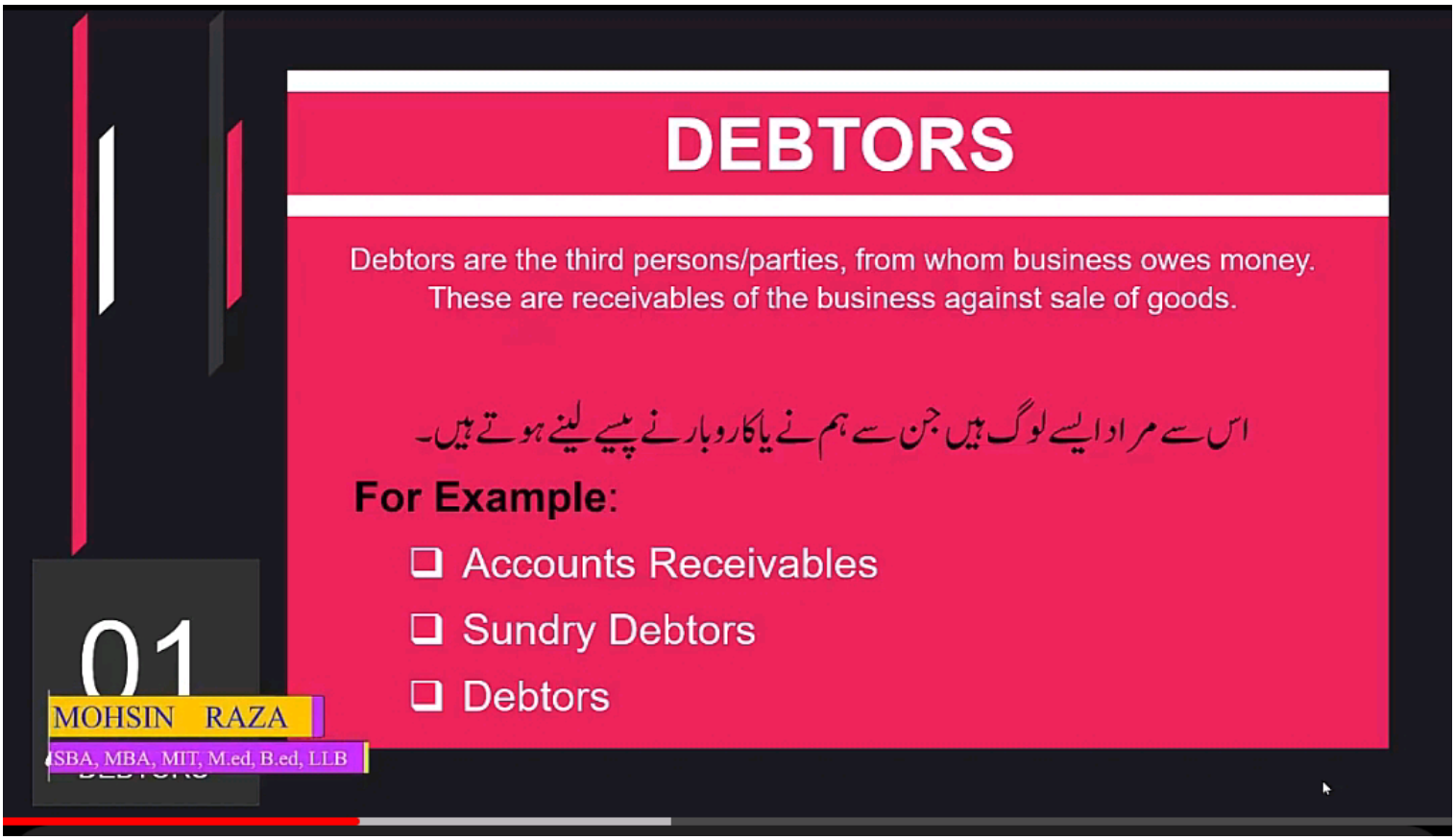
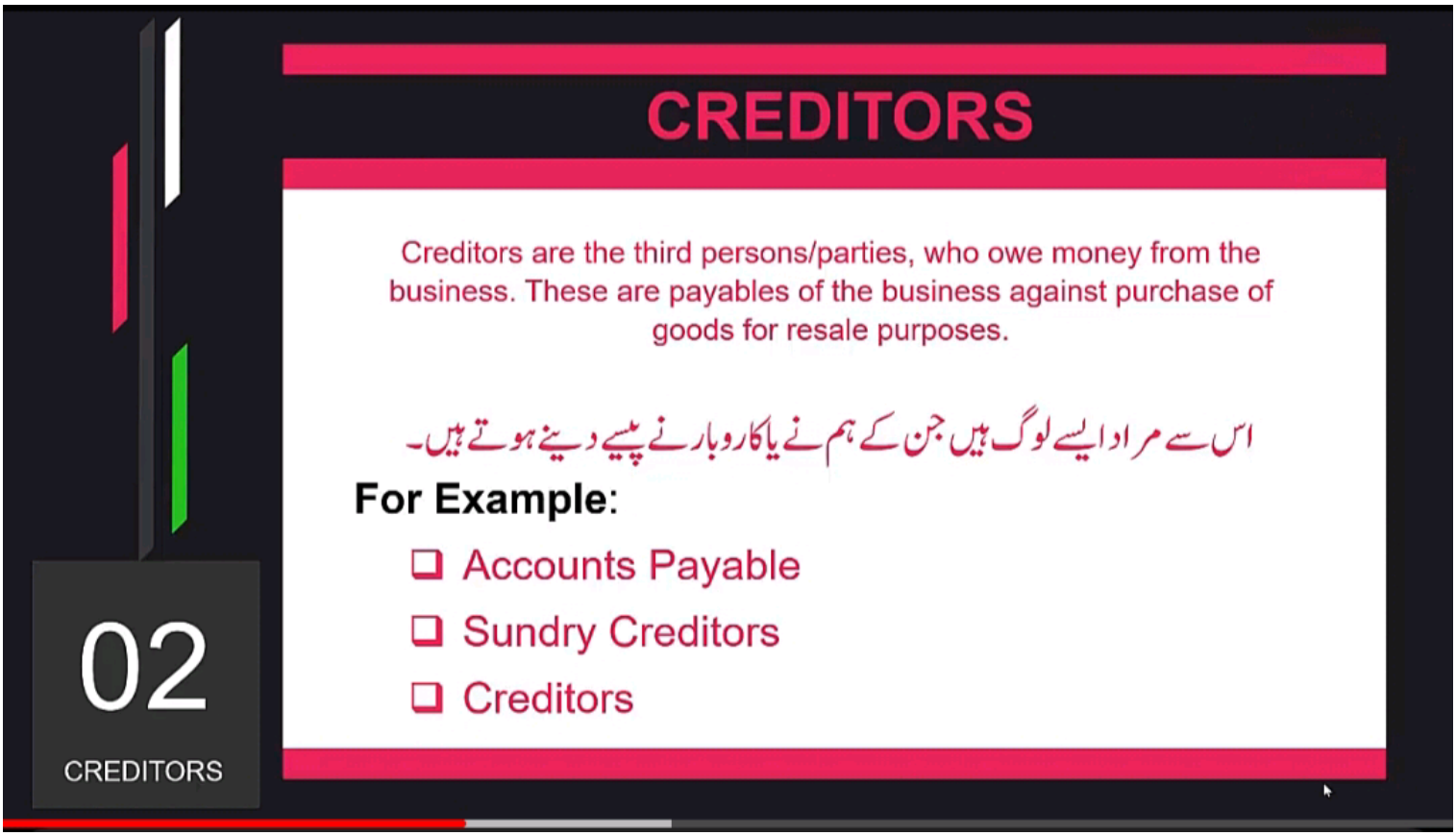

DEBTORS
Debtors are the third persons/parties, from whom business owes money.
These are receivables of the business against sale of goods.
اس سے مراد ایسے لوگ ہیں جن سے ہم نے یا کاروبار نے پیسے لینے ہوتے ہیں۔
For Example:
Accounts Receivables
Sundry Debtors
Debtors
01
MOHSIN RAZA
SBA, MBA, MIT, M.ed, B.ed, LLB


CREDITORS
Creditors are the third persons/parties, who owe money from the business. These are payables of the business against purchase of goods for resale purposes.
اس سے مراد ایسے لوگ ہیں جن کے ہم نے یا کاروبار نے پیسے دینے ہوتے ہیں۔
For Example:
Accounts Payable
Sundry Creditors
Creditors
02
CREDITORS

ACCRUED EXPENSES

Accrued expense is expense which has been incurred but not yet paid.
Expense must be recorded in the accounting period in which it is incurred.

اس سے مراد ایسے اخراجات ہیں جو واقع ہو جاتے ہیں ہم ان کو ریکارڈ کر لیتے ہیں مگر ان کی ادائیگی بعد میں کرتے ہیں۔

For Example:

- Bills
- Salaries

03

ACCRUALS

BAD DEBTS

Bad Debts is the amount that is not recover from the debtors or the amount which is not collected from the accounts receivables. This is consider the loss of the business and charge to the profit and loss account.

اس سے مراد وہ رقم ہے جو ہمیں وصول نہیں ہو گی۔ یا ہم نے کسی سے پیسے لینے تھے اس نے ہمیں کہ دیا میں نے تو دینے ہی نہیں ہیں یا وہ نہیں دیتا۔ وغیرہ ایسی تمام رقم Bad Debts کہلاتی ہے۔ اس کو خرچہ Consider کرتے ہیں۔

04

BAD DEBTS

PROVISION

Provision is the amount the business save for its accidental (Fire, Earthquake) loss like Bad Debts.

اس سے مراد ایسی رقم ہے جو کاروبار الگ رکھ لیتا ہے اپنی ناگہانی صورت حال کے لیے۔ مثلا کمپنی کو آگ لگ گئی یا زلزلہ آگیا اور کمپنی کو نقصان ہوا تب وہ اس سے اخراجات پورے کرتے ہیں۔ یا Bad Debts کی صورت میں جو نقصان ہوا وہ بھی کئی بار اسی رقم سے پورا کر لیتے ہیں اور کاروبار چلتا رہتا ہے۔

05

PROVISION

Difference Between Accrual & Provision

Accrual	Provision
Accrual is recorded	Provision is made
Exact amount is Known	Exact amount is not Known
Example	Example
Salaries	Bad Debts

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MSBA, MBA, MIT, M.ed, B.ed, LLB

Control Accounts

جیسے جیسے ہمارے کاروبار کا Size بڑھتا جاتا ہے ویسے ویسے ہمارے Debtors اور Creditors جاتے ہیں۔ اور ہم ہر Debtor یا Creditor کے لیے الگ سے Account نہیں بنا سکتے ہیں۔ ایسی صورتحال میں ہم لوگ ایک Debtors کے لیے Account بناتے ہیں جسے میں سارے اندراج کر لیتے ہیں۔ اسی طرح ایک Account ہم Creditors کے لیے بنا لیتے ہیں جس میں Creditors کا اندرج کر لیتے ہیں۔ Debtors والے Account کو ہم Debtors Control Account کہتے ہیں اور ۔ Creditors والے Account کو ہم Creditors Control کہتے ہیں

Elements of Debtors and Creditors Control Accounts

Debtors Control Accounts

یہ Sale کے Against بنتے ہیں۔

Opening Balance

Credit Sales

Sales Return

Cash Received / Cheques Received

Closing Balance

Creditors Control Accounts

یہ Purchase کے Against بنتے ہیں۔

Opening Balance

Credit Purchase

Purchase Return

Cash Paid / Cheques Paid

Closing Balance

How to Prepare the Debtors & Creditors Control Accounts

Debtors Control Accounts

Debtors Control Accounts

Opening Balance	XXX	Sale Return	XXX
Credit Sale	XXX	Receipts	XXX
		Discount Allowed	XXX
		Bad Debts	XXX
		Closing Balance	XXX
Total	**XXX**	**Total**	**XXX**

Creditors Control Accounts

Creditors Control Accounts

Purchase Return	XXX	Opening Balance	XXX
Payments	XXX	Credit Purchase	XXX
Discount Received	XXX		
Closing Balance	XXX		
Total	**XXX**	**Total**	**XXX**

SOLUTION

Opening Balance	300,000		
Credit Sale	520,000	Receipts	340,000
		Discount Allowed	30,000
		Bad Debts	50,000

		Opening Balance	00
Payments	260,000	Credit Purchase	400,000
Discount Received	20,000		

Debtors Control Accounts

Opening Balance	300,000	Receipts	340,000
Credit Sale	520,000	Discount Allowed	30,000
		Bad Debts	50,000
		Closing Balance	400,000
Total	**820,000**	**Total**	**820,000**

Creditors Control Accounts

Payments	260,000	Opening Balance	500,000
Discount Received	20,000	Credit Purchase	400,000
Closing Balance	620,000		
Total	**900,000**	**Total**	**900,000**

Rectification of Error

جب ہم کسی بھی کاروبار میں Books of Accounts کو Maintain کرتے ہیں تو اس ہے کہ ہم سے کچھ غلطیاں بھی ہو جائیں۔ ان غلطیوں کو ٹھیک کرنے کی ضرورت ہوتی ہے۔ کو ٹھیک کرنے کو Rectification of Error کہتے ہیں۔ ان غلطیوں کو ٹھیک کرنے سے ضروری ہے کہ یہ غلطیاں کون کونسی ہوتی ہیں۔

Error of Omission

This means that an event occurred but we did not record it. This Error is Called Error of Omission.

اس کا مطلب یہ ہے کہ Event تو Occur ہوا ہے مگر ہم اس کو ریکارڈ کرنا بھول گئے ہیں۔

For Example: We Purchase Mobile but not recorded in books of Accounts.

01

Error of Commission

In this we have recorded transaction but in wrong classification of account. This Error is Called Error of Commission.

اس کا مطلب یہ ہے کہ Event کو ریکارڈ کیا ہے مگر ہم اس کو غلط Account میں ریکارڈ کر دیا

For Example: Mr. A, who is a debtor, is recorded in the account of Mr. B, who is also a debtor.

02

Error of Principle

03

In this we have recorded transaction but in wrong class of account. This Error is Called Error of Principle.

اس کا مطلب یہ ہے کہ ہم غلط Class of Account میں ریکارڈ کر دیا ہے۔

For Example: For example a purchase of fixed asset, say, a vehicle is recorded in an expense account.

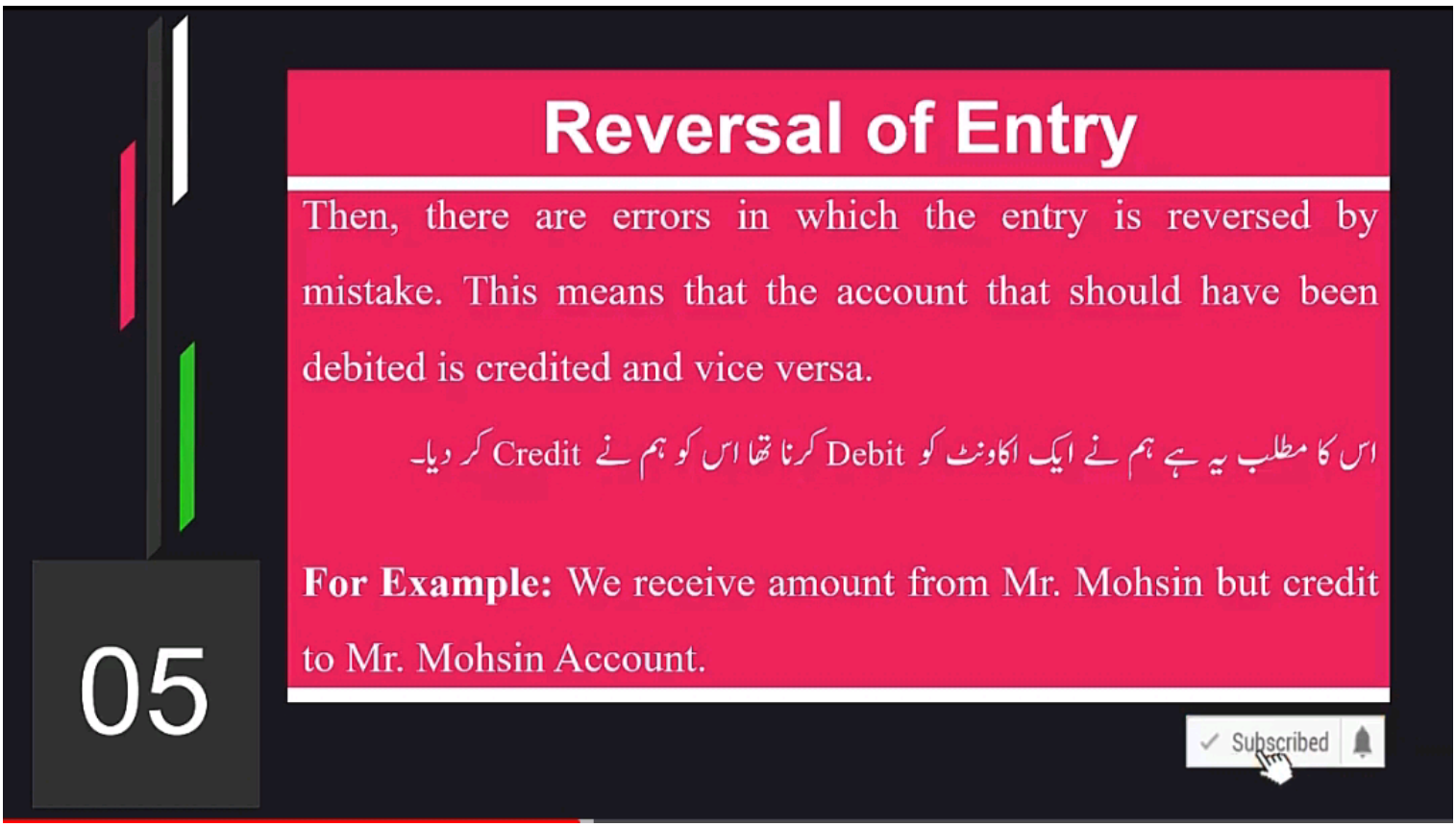
04 Error of Original Entry

The errors in which recording is in correct account but the figure is incorrect is Called Error of Original Entry.

اس کا مطلب یہ ہے کہ ہم نے Transaction کو ٹھیک ریکارڈ کیا ہے مگر رقم غلط لکھ دی ہے۔

For Example: A receipt of Rs. 50,000 from a debtor is recorded as Rs. 5,000 in his account..




Reversal of Entry
Then, there are errors in which the entry is reversed by mistake. This means that the account that should have been debited is credited and vice versa.
اس کا مطلب یہ ہے ہم نے ایک اکاونٹ کو Debit کرنا تھا اس کو ہم نے Credit کر دیا۔
For Example: We receive amount from Mr. Mohsin but credit to Mr. Mohsin Account.
05
Subscribed

EXAMPLES

Rectify the following errors which are located in the books of Mr. Raza at end March, 2019:

1. Sale of old furniture for Rs. 2,000 treated as sale of goods.
2. Rs. 12,000 paid of salary to cashier Mr. Mohsin, stands debited to his personal account.
3. Businessman Purchase Furniture Rs. 20,000 and omit to record in books of account.
4. Cash received from Mr. Bilal Rs. 300 was credited to Mr. Ali.
5. Paid Electricity Bill Rs. 1,000 but enter 10,000 in books of accounts.

Required:

Identify the Type of Error and Correct the Transaction.

SOLUTION

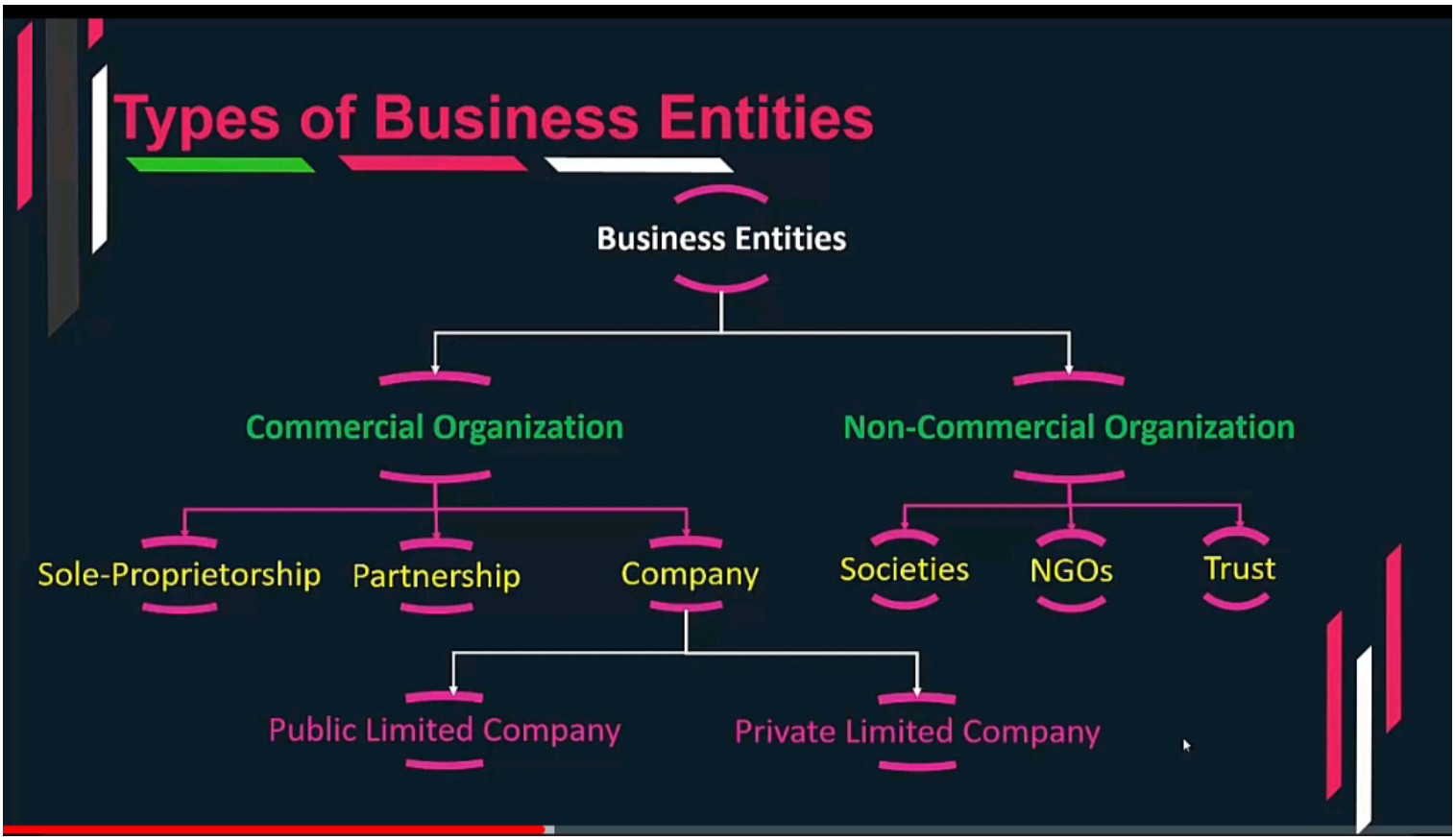
5. Paid Electricity Bill Rs. 1,000 but enter 10,000 in books of accounts.

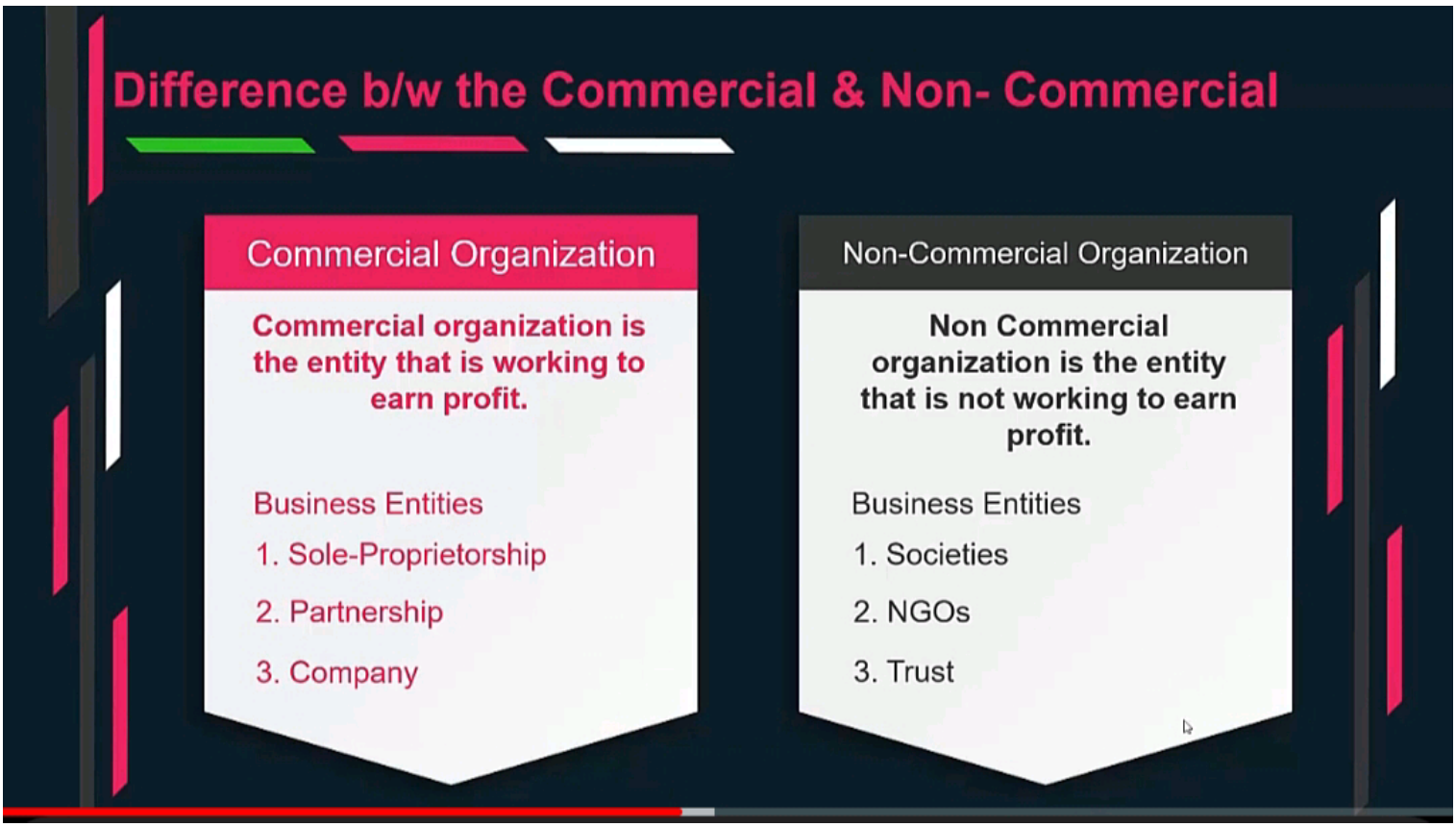
Sr. No.	Type of Error	Wrong Entry	Correct Entry	Rectifying Entry
1	**Error of Principal**	Cash A/C 2,000 Sale A/C 2,000	Cash A/C 2,000 Furniture A/C 2,000	Sales A/C 2,000 Furniture A/C 2,000
2	**Error of Commission**	Mohsin A/C 12,000 Cash A/C 12,000	Salary A/C 12,000 Cash A/C 12,000	Salary A/C 12,000 Mohsin A/C 12,000
3	**Error of Omission**			Furniture A/C 20,000 Cash A/C 20,000
4	**Reversal of Entry**	Cash A/C 300 A/R Ali 300	Cash A/C 300 A/R Bilal 300	A/R Ali 300 A/R Bilal 300
5	**Error of Original Entry**	Bill A/C 10,000 Cash A/C 10,000	Bill A/C 1,000 Cash A/C 1,000	Cash A/C 9,000 Bill A/C 9,000

Business

Any Activity that is started to provide product or services or to earn profit is known as business.

ایسی سرگرمی جو کوئی شے یا سروس دینے کے لیے یا منافع کمانے کے لیے جائے اس کو کاروبار (Business) کہتے ہیں۔


Types of Business Entities
Business Entities
Commercial Organization
Non-Commercial Organization
Sole-Proprietorship
Partnership
Company
Societies
NGOs
Trust
Public Limited Company
Private Limited Company


Difference b/w the Commercial & Non- Commercial
Commercial Organization
Commercial organization is the entity that is working to earn profit.
Business Entities
1. Sole-Proprietorship
2. Partnership
3. Company
Non-Commercial Organization
Non Commercial organization is the entity that is not working to earn profit.
Business Entities
1. Societies
2. NGOs
3. Trust

Accounting Treatment

Sole Proprietorship

A business own & control by one person.

Accounting Treatment

There is no restriction on him for drawing money for his personal use.

Investment in Business

Cash or Bank A/C	Debit
Capital A/C	Credit

Withdraw from Business

Owner's A/C	Debit
Cash or Bank A/C	Credit

Partnership

A business which carried out by relation of two or more person.

Accounting Treatment

Investment in Business

Cash or Bank A/C	Debit
Partner's Capital A/C	Credit

Withdraw from Business

Partner's Capital A/C	Debit
Cash or Bank A/C	Credit

Profit from Business

Profit & Loss Appropriation A/C	Debit
Partner's Current A/C	Credit

Company

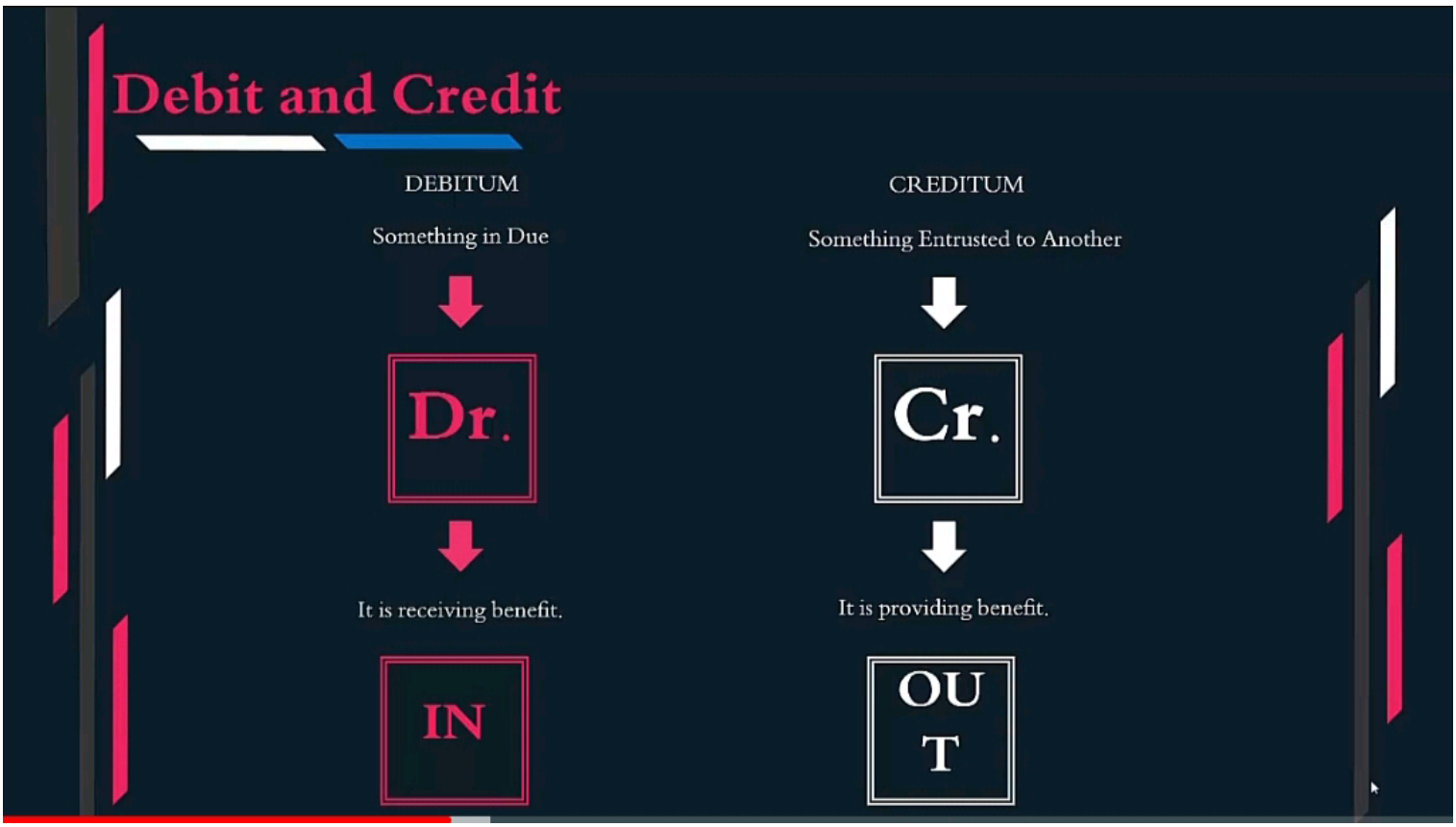
A business which is carried out by association of persons.

Accounting Treatment

Share Capital

Dividend

Public Limited Company	03 to 07
Private Limited Company	02 to 50


Debit and Credit
DEBITUM
Something in Due
Dr.
It is receiving benefit.
IN
CREDITUM
Something Entrusted to Another
Cr.
It is providing benefit.
OU
T

Example of Dr. and Cr. or IN and OUT

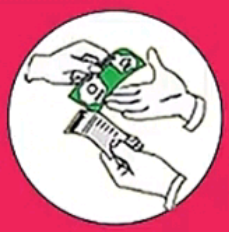
Sr. No.	Example	Debit IN	Credit OUT
1	Mr. Ahmad Purchase Mobile of Rs. 10,000.	Mobile	Cash or Rs. 10,000
2	Mr. Mohsin purchase Land of Rs. 20,000.	Land	Cash or Rs. 200,000
3	Mr. Raza sold goods of Rs. 500.	Cash or Rs. 500	Goods
4	Mr. Ali pay Bill of Rs. 200.	Bill	Cash or Rs. 200
5	Mr. Muneer pay salaries of Rs. 500.	Salaries	Cash or Rs. 100

ASSETS

Assets are the properties and possessions of the business.

Properties and Possessions are two types

1. Tangible Assets (Furniture, Vehicle)
2. Intangible Assets (Cash, Inventory)







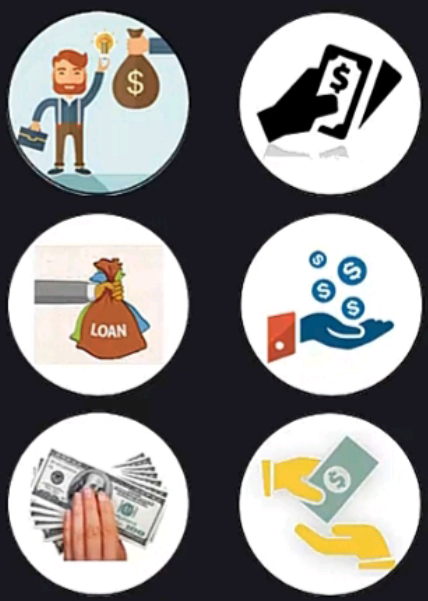

TEACHERS ONLINE 24 SEVEN ADVANCE LEARNING

01

ASSETS

02

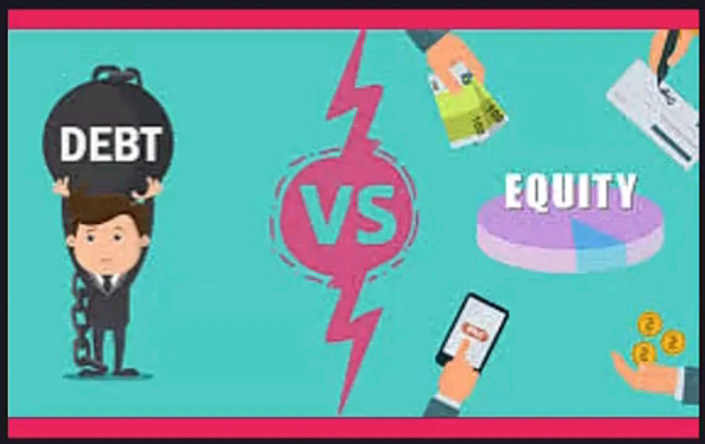
LIABILITIES



Liabilities

Liabilities are the debts and obligations of the business.

OWNER'S EQUITY



Owner's Equity is defined as the proportion of the total value of a company's assets that can be claimed by its the owners and by its shareholders.

03

EQUITY

ACCOUNTING EQUATION



1. Assets
2. Liabilities
3. Owner Equity



If we have combine these three concepts which we have learn today's. It make an equation which is known as Accounting Equation.

SOLUTION

Details	Dr.	Cr.	PLS or Balance
Sales		Rs. 204,000	Profit & Loss A/C
Capital		Rs. 120,000	Balance Sheet
Bank over Draft		Rs. 103,500	Balance Sheet
Sundry Creditors		Rs. 120,000	Balance Sheet
Stock 1.1.2006	Rs. 60,400		Profit & Loss A/C
Purchases	Rs. 231,600		Profit & Loss A/C
Sundry Debtors	Rs. 109,600		Balance Sheet
Returns Inward	Rs. 3,640		Profit & Loss A/C
General Expenses	Rs. 6,980		Profit & Loss A/C
Plant	Rs. 22,620		Balance Sheet
Wages & Salaries	Rs. 16,740		Profit & Loss A/C
Building	Rs. 50,000		Balance Sheet
Cash in Hand	Rs. 680		Balance Sheet
Cash at Bank	Rs. 8,720		Balance Sheet
Drawings	Rs. 16,960		Balance Sheet
Motive Power	Rs. 2,300		Profit & Loss A/C
Dock & Clearing Charges	Rs. 1,300		Profit & Loss A/C
Coal, Gas, Water	Rs. 1,700		Profit & Loss A/C
Salaries	Rs. 9,820		Profit & Loss A/C
Interest on Over Draft	Rs. 4,440		Profit & Loss A/C
Total	**Rs. 547,560**	**Rs. 547,560**	

Closing Stock has been valued at Rs. 40,000

ILLUSTRATION

Particulars	Debit	Credit
Sales		204,000
Capital		120,000
Bank over Draft		103,560
Sundry Creditors		120,000
Stock 1.1.2006	60,400	
Purchases	231,600	
Sundry Debtors	109,600	
Returns Inward	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at Bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock & Clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on Over Draft	4,440	
Total	**547,560**	**547,560**

Following is the Trial Balance of Rehman and Sons for the year 2006.

SEVEN ADVANCE LEARNING

Adjustment:

Closing Stock has been valued at Rs. 40,000

Requirements:

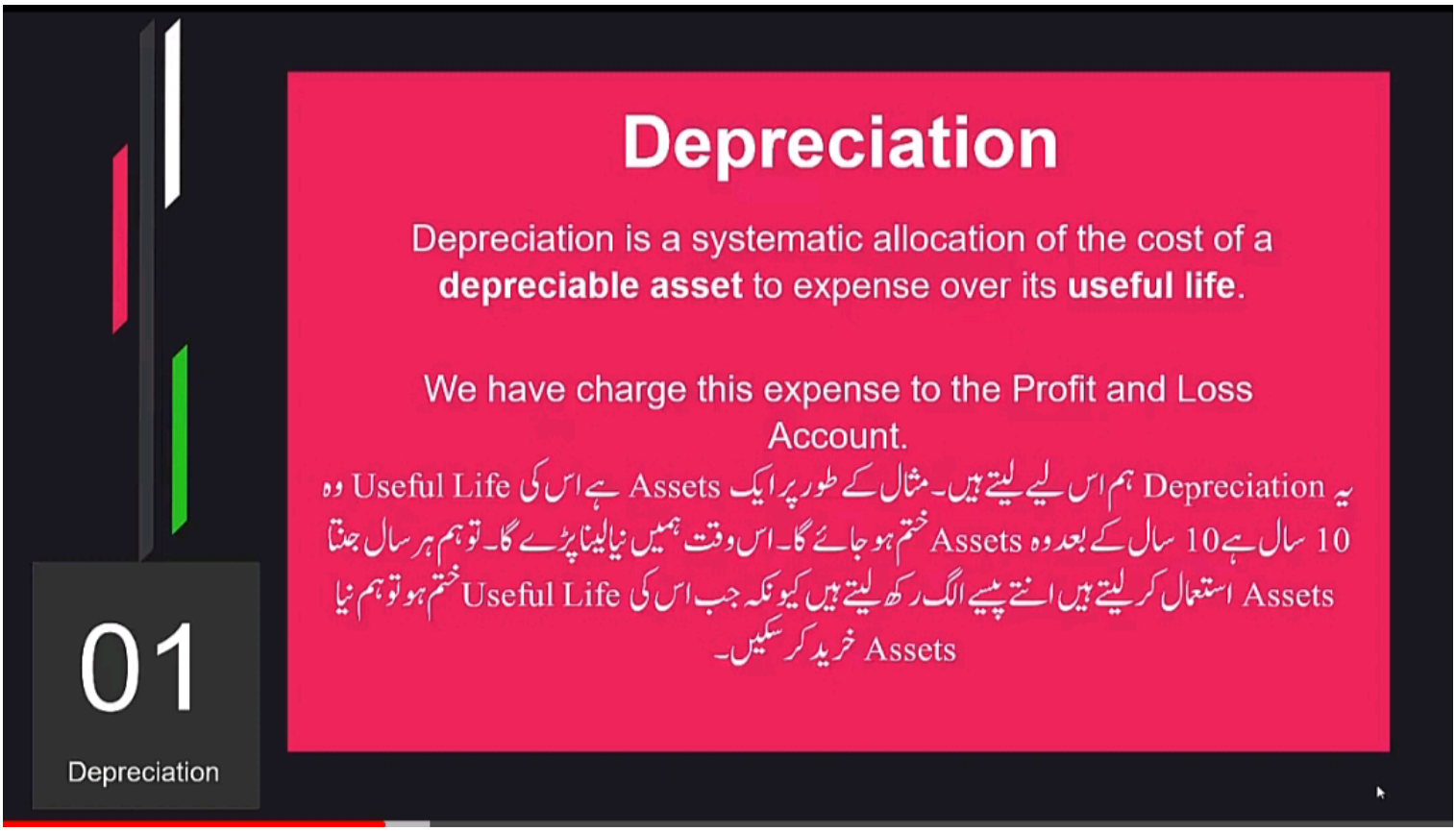
You are required t prepare a Profit and Loss Account for the year ended 31-12-2006 and a Balance Sheet as at that date.

Profit & Loss

Expenses			Revenue		
Stock 1.1.2006		60,400	Sales	204,000	
Purchases		231,600	Returns Inward	3,640	
Wages & Salaries		16,740	Net Sales		200,360
			Closing Stock		40,000
			Gross Loss		**68,380**
Total		**308,740**	**Total**		**308,740**
Gross Loss		68,380			
General Expenses		6,980			
Motive Power		2,300			
Dock & Clearing Charges		1,300			
Coal, Gas, Water		1,700			
Salaries		9,820			
Interest on Over Draft		4,440			
			Net Loss		**94,920**
Total		**94,920**	**Total**		**94,920**

Balance Sheet

Assets			Liabilities		
Sundry Debtors		109,600	Capital	120,000	
Plant		22,620	Drawings	16,960	
Building		50,000	Net Loss	94,920	
Cash in Hand		680	**Net Capital**		**8,120**
Cash at Bank		8,720	Bank over Draft		103,500
Closing Stock		40,000	Sundry Creditors		120,000
Total		**231,620**	**Total**		**231,620**


Depreciation
Depreciation is a systematic allocation of the cost of a depreciable asset to expense over its useful life.
We have charge this expense to the Profit and Loss Account.
یہ Depreciation ہم اس لیے لیتے ہیں۔ مثال کے طور پر ایک Assets ہے اس کی Useful Life وہ 10 سال ہے 10 سال کے بعد وہ Assets ختم ہو جائے گا۔ اس وقت ہمیں نیا لینا پڑے گا۔ تو ہم ہر سال جتنا Assets استعمال کر لیتے ہیں اتنے پیسے الگ رکھ لیتے ہیں کیونکہ جب اس کی Useful Life ختم ہو تو ہم نیا Assets خرید کر سکیں۔
01
Depreciation

Depreciable Assets

The Assets on Depreciation is Charged is known as Depreciable Assets.

Depreciable Assets

- Land
- Building
- Plant and Machinery
- Furniture and Fixtures
- Office Equipment
- Vehicles

Note: No depreciation is charged for 'Land'.

02

Assets

Accumulated Depreciation

03
Accumulated

جب ہم ایک سال کی Depreciation کے ساتھ پچھلے سال کی Deprecation کو جمع کر لیتے
تو اس کو Accumulated Depreciation کہتے ہیں۔

Years	Depreciation	Accumulated
1	10,000	**10,000**
2	15,000	**25,000**
3	20,000	**45,000**
4	25,000	**70,000**

✓ Subscribed

Useful Life

04

USEFUL LIFE

Useful Life is the time period for which Assets is expected to operate efficiently.

It is the life for which an Assets is estimated to provide benefit.

05

Amortization

Amortizatio

کوئی بھی کمپنی اپنے کاروبار کو چلانے کے لیے مختلف Assets خرید کرتی ہے۔ جب بھی کوئی کمپنی اپنا کاروبار شروع کرتی ہے تو اس وقت اس کے پاس اتنا سرمایہ نہیں ہوتا ہے کہ وہ ہر Assets خود خرید کر سکے۔ اس وجہ سے وہ کئی Assets وہ Lease پر لے لیتی ہے۔ جب وہ Lease پر لیتی ہے تو ہر سال اس کو کچھ Portion ادا کرتی ہے۔ کمپنی جو سالانہ Portion ادا کرتی ہے اس کو Amortization کہتے ہیں۔

Recording of Depreciation

1. Purchase of Assets	**Debit :**	Relevant Asset Account
	Credit :	Cash / Bank / Creditors
2. Journal entry for Depreciation	**Debit :**	Depreciation Expenses Account
	Credit :	Accumulated Depreciation Account
3. Sale of Assets	**Debit :**	Cash / Bank / Receivables
	Credit :	Relevant Asset Account

STRAIGHT LINE METHOD

Under this method we have charge depreciation by a fixed amount (Calculated by Formula).

اس میں ہم ہر سال ایک Fixed Amount کے حساب سے Depreciation چارج ہیں۔اور یہ ہم ایک فور مولا کے ذریعے نکالتے ہیں۔

Formula:

$$\text{Depreciation} = \frac{\text{Cost - Residual Value}}{\text{Expected useful life of the asset}}$$

01

Method

RESIDUAL VALUE

Residual Value is the cost of the asset after the expiry of its useful life.

جب کسی Asset کی Useful Life ختم ہو جاتی ہے۔ تو اس وقت وہ جتنے کا فروخت ہوتا ہے اس کو Residual Value کہتے ہیں۔

EXAMPLES

Cost of an Assets	=	120,000
Residual Value	=	20,000
Useful Life	=	05 Years

Required:

Calculate depreciation by using the straight line method.

SOLUTION

Formula:

Depreciation = Cost - Residual Value / Useful Life

= 120,000 – 20,000 / 5

= 100,000 / 5

= 20,000 Answer

Particulars	Depreciation	Accumulated Depreciation
Dep. Of the 1st Year	20,000	20,000
Dep. Of the 2nd Year	20,000	40,000
Dep. Of the 3rd Year	20,000	60,000
Dep. Of the 4th Year	20,000	80,000
Dep. Of the 5th Year	20,000	100,000

WRITTEN DOWN VALUE METHOD

Under this method, depreciation is calculated on written down value (Calculated by Formula).

اس میں ہم ایک سال کی Depreciation نکالتے ہیں۔ پھر اگلے سال جو Depreciation نکالتے ہیں وہ جو اس Assets کی Cost بچ جاتی ہے اس پر نکالتے ہیں۔

02

Method

EXAMPLES

Cost of an Assets	=	100,000
Depreciation Rate	=	20%
Useful Life	=	05 Years

Required:

Calculate depreciation by using the written down value method.

SOLUTION

Particulars	Depreciation	Accumulated	Written Down
Cost of Assets			100,000
Dep. Of the 1st Year 100,000 x 20%	20,000	20,000	80,000
Dep. Of the 2nd Year 80,000 x 20%	16,000	36,000	64,000
Dep. Of the 3rd Year 64,000 x 20%	12,800	48,800	51,200
Dep. Of the 4th Year 51,200 x 20%	10,240	59,040	40,960
Dep. Of the 5th Year 40,960 x 20%	8,192	67,232	32,768

In the Straight Line Method we have Zero Balance, on the other hand if we are see the written down value method, in this method we have 32,768 at the end of useful life. Its mean written down value method is better than the straight line method.

EXAMPLES

Cost of an Assets	=	200,000
Residual Value	=	20,000
Useful Life	=	05 Years

Required:

Calculate Depreciation Rate.

SOLUTION

Debit (DR) IN
What product or cash has come IN

Credit (CR) Out
What product or cash has gone OUT

Formula:= $1 - \sqrt[n]{\text{Residual Value / Cost of Assets}}$

$= 1 - \sqrt[5]{20{,}000 / 200{,}00}$

$= 1 - \sqrt[5]{0.10}$

$= 1 - (0.10)^{1/5}$

$= 1 - (0.10)^{0.20}$

$= 1 - 0.63$

$= .37 \times 100$

= 37% Answer